Development Deal Performance & Returns Report

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◆ LP IRR 24.7%

✓ DSCR HEALTHY ✓ LP PREF MET

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BANK · 57% · $12.00M	LP · 32% · $6.68M	11% · $2.23M

RETURNS

LP IRR	24.7%
LP MOIC	2.83x
GP IRR	23.7%
GP MOIC	3.57x
Equity Profit (LP+GP)	$17.92M
LP Total Receipts	$18.87M
GP Total Receipts	$7.95M

FINANCING & ASSUMPTIONS

Total Cost	$20.00M
Bank Loan (60% LTC)	$12.00M

⚠ RECOURSE LOAN — Personal guarantee in effect · Burns off: At Stabilization

Construction Period	20 mo @ 4.25% (constr. rate)
Perm Loan (43% LTV)	$15.90M @ 3.75%
LP Equity	$6.68M
GP Equity	$2.23M
Hold Period	7.0 yrs (1.7yr constr + 5.3yr ops)
Lease Ramp	ON — 9 mo from 0% → 95% occ.
Stabilized NOI	$1.35M/yr
Exit Cap Rate (Target)	4.50% (on Exit NOI $1.65M)
Implied Cap Rate (memo)	3.66% (on Stabilized Yr-1 NOI $1.35M)
Gross Sale Price	$36.76M

DEAL STRUCTURE

Preferred Return	8.00%
GP Mgmt Fee	1.50%/yr on LP equity
LP / GP Promote (T1 base)	85% / 15%
T2 (>20.0% IRR)	75% / 25%
T3 (>25.0% IRR)	65% / 35%
Loan Draw Schedule	Manual (Pro)
Capital Draw Schedule	Manual (Pro)

COST BREAKDOWN

Land	30.0%
Hard Cost	65.0%
Soft Cost	5.0%

RISK & COVERAGE

DSCR (I/O basis)	2.26x
DS — I/O (DSCR basis)	$596K/yr
DS — P&I (amort. phase)	$981K/yr
Stabilized YOC	6.73%
Stabilized NOI Yield on Equity	15.10%
Bridge Risk	No
Capital Call	No
Stabilized DSCR / LP IRR	2.26x / 24.7%

Chronological Cash Flow

① CONSTRUCTION LOAN		
Bank Principal	$12.00M	32.6%
Construction Interest (capitalized)	$506K	1.4%
Total Construction Claim	**$12.51M**	34.0%
② REFI AT COMPLETION		
Perm Loan Funded	$15.90M	43.2%
Refi Transaction Cost	($318K)	-0.9%
Perm Loan Interest Reserve (restricted)	($366K)	-1.0%
Withheld from refi proceeds; held pari passu (LP/GP proportional to equity) as DS coverage during ops. Any unused balance returned to partners pari passu at exit.		
Mgmt Fee paid at refi	$167K	0.5%
③ LP ROC at refi	$2.90M	7.9%
③ OPERATING PHASE (5.3 yrs)		
Bank Interest paid	$4.46M	12.1%
→ DS funded: NOI $4.29M + OS Reserve draw $167K		
GP Mgmt Fee paid	$302K	0.8%
LP ROC (ops)	$1.85M	5.0%
④ SALE / EXIT		
Gross Sale Price	$36.76M	100.0%
Exit / Disposition Cost	($827K)	-2.3%
Net Sale (distribution pool)	**$35.93M**	97.8%
Bank repaid (all phases)	$14.53M	39.5%
LP Total (all phases — ROC + Pref + Promote)	**$18.87M**	51.3%
GP Total (all phases — ROC + Pref + Catchup + Promote)	**$7.95M**	21.6%

Lifetime totals: includes distributions at construction close, refi, operating phase, and exit. Per-tier breakdown by phase on Exhibit page.

LP IRR Sensitivity (Construction Loan Rate × Exit Cap Rate)

— full model at actual deal settings; highlighted cell (yellow border) = actual inputs = headline IRR

Const. \ Cap	4.00%	4.25%	4.50%	4.75%	5.00%
3.75%	48.7%	43.2%	38.4%	34.3%	30.4%
4.00%	48.5%	43.0%	38.2%	34.1%	30.2%
4.25%	48.3%	42.8%	38.0%	33.9%	30.0%
4.50%	48.1%	42.6%	37.8%	33.7%	29.9%
4.75%	47.8%	42.4%	37.6%	33.5%	29.7%

After-Tax Impact

Pre-Tax LP IRR	24.7%
After-Tax LP IRR	20.9%
IRR Drag (Tax)	−3.8 pp
Pre-Tax MOIC	2.83x
After-Tax MOIC	2.34x
Total Gain at Exit	$18.21M
Total Tax at Exit	$4.36M
→ Recapture Tax	$696K
→ Cap Gains Tax	$3.66M
After-Tax LP Total	$15.62M

Development Deal Performance & Returns Report — Exhibits

Exit distribution · LP cash flows · Deal analytics · Generated 2026-06-22 23:56

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Exit Distribution — Where $36.76M Goes

Gross Sale: **$36.76M** → Net Sale Pool: **$35.93M** (after $827K disposition cost)

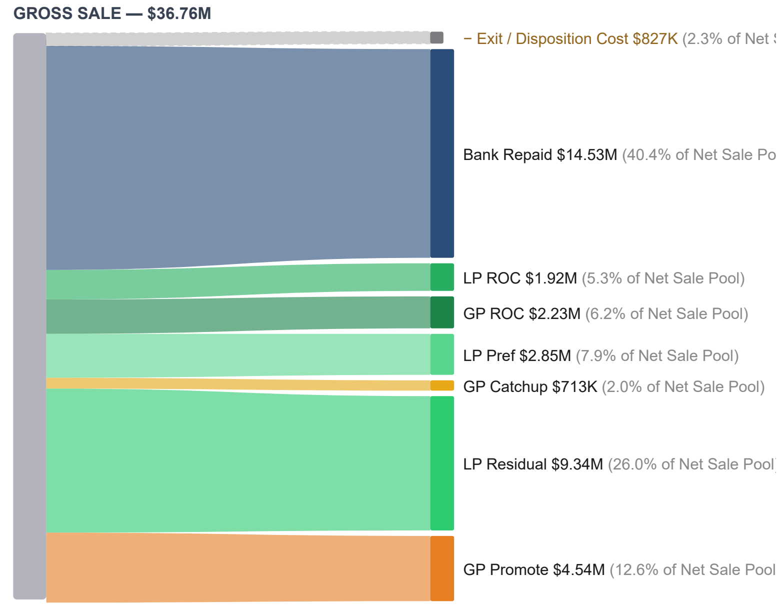
Recipient	Amount	% of Net Sale Pool ($35.93M)
Bank Repaid	$14.53M	40.2%
LP ROC	$1.92M	5.3%
GP ROC	$2.23M	6.2%
LP Pref	$2.85M	7.9%
GP Catchup	$713K	2.0%
LP Residual	$9.34M	25.9%
GP Promote	$4.54M	12.6%
Total Distributed	**$36.13M**	**100.0%**

↑ *Exit-phase distributions only. Prior phases: LP ROC: additional $4.76M returned during ops/refi. Full lifetime totals in Cash Flow section.*

LP Cash-on-Cash by Year (Pre-exit distributions, incl. refi close)

Total operating distributions: $4.76M · Avg annual: $680K · Overall CoC: 71.2%

Exit Distribution — Sankey Flow



Sankey shows exit waterfall distributions. Waterfall priority: Disposition Cost → Bank → Mgmt Fee → LP/GP ROC → LP/GP Pre GP Catchup → Promote. Percentages are % of Net Sale Pool ($35.93M) — same basis as the "% of Net Sale Pool" column in th table below. Disposition cost $827K shown as a leakage item; net pool after it = $35.93M. GP Mgmt Fee ($302K) fully paid from NOI — not in exit pool.

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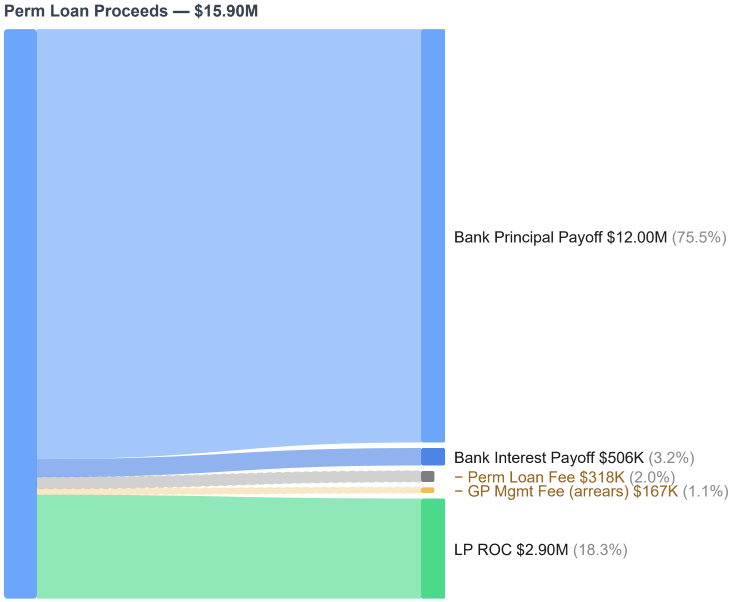
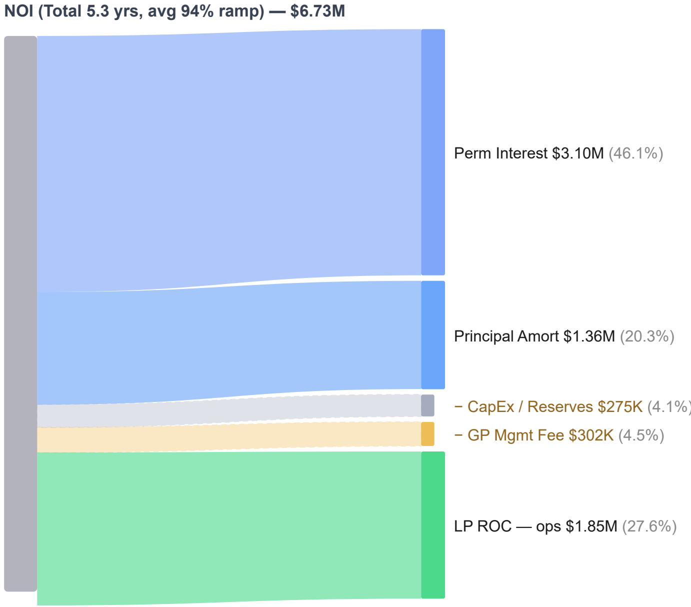
Refi Distribution — Where the Loan Proceeds Go



Sankey shows the refinance event: perm loan proceeds (+ capital call, if any) and where they land.

NOI Distribution — Where Cumulative NOI Goes



Sankey shows cumulative operating-period NOI and where it goes before any sale event.

Development Deal Performance & Returns Report — Appendix A: Model Methodology (1 of 2)

Formula Reference & Calculation Audit Trail · Generated 2026-06-22 23:56

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All values in this report are derived from the formulas below. The model applies institutional-grade CRE waterfall mechanics: senior debt priority → management fee → return of capital (pari passu) → preferred return → GP catchup → promote split. IRR is computed via Newton-Raphson iteration on monthly LP cash flows. No shortcuts, approximations, or hard-coded returns are used. Investors and auditors may reproduce any figure by applying these formulas to the inputs shown on pages 1–2.

PERFORMANCE METRICS

LP IRR	`Newton-Raphson: r s.t. Σ(CF_t/(1+r)^t) = 0`	*Monthly compounding on LP net cash flows t=0…exit*
LP MOIC	`Total LP Distributions ÷ LP Equity Invested`	*Includes ROC + Pref + Promote + GP Clawback received*
GP IRR	`Same Newton-Raphson on GP net cash flows`	*GP CF = ROC + Pref + Catchup + Promote − Mgmt Fee outlay*
GP MOIC	`Total GP Distributions ÷ GP Equity Invested`	
Equity Profit	`(Total LP + Total GP) − (LP Equity + GP Equity)`	*Profit above total equity invested*
DSCR	`Stabilized NOI ÷ Annual Debt Service`	*Computed at perm loan stabilization; 0 if no debt*
Stabilized YOC	`Stabilized NOI ÷ Total Project Cost`	*Unlevered yield on full cost basis*
Stabilized NOI Yield on Equity	`Stabilized NOI ÷ (LP Equity + GP Equity)`	*Levered NOI yield on equity deployed*
Exit Price	`Stabilized NOI ÷ Exit Cap Rate`	*Implied sale price before disposition costs*

DEBT & LOAN MECHANICS

Construction Loan	`Total Cost × LTC%`	*Loan-to-Cost — applied to selected cost basis*
Constr. Interest	`Loan × Draw Factor × Rate × Period (yrs)`	*Draw Factor: Lump=1.0, Linear=0.50, S-Curve≈0.55 — a simplified linear approximation of average outstanding balance, not a month-by-month draw simulation*
Bank Total Claim	`Constr. Loan + Capitalized Interest`	*Retires at refi or exit*
Perm Loan (LTV)	`Exit Price × LTV%`	*Loan-to-Value sizing*
Perm Loan (DY)	`Stabilized NOI ÷ Min Debt Yield%`	*Debt Yield constraint*
Perm Loan (DSCR)	`Stabilized NOI ÷ (DSCR_min × Perm Rate)`	*DSCR constraint*
Binding Constraint	`min(LTV, DY, DSCR) loan size`	*Most restrictive sizing wins (Pro)*
DS — I/O Phase	`Perm Loan × Perm Rate ÷ 12 per month`	*Interest-only; no principal reduction*
DS — P&I Phase	`Loan × [i(1+i)^n ÷ ((1+i)^n−1)]`	*i = monthly rate; n = amort months*
Refi Net Proceeds	`Perm Loan − Const. Claim − Refi Fee − Reserve`	*Positive = surplus for distribution*

OPERATING PERIOD CASH FLOWS

Monthly NOI	`Stabilized NOI ÷ 12 (flat after stabilization)`	*Ramp-up applies S-curve if enabled (see below)*
Monthly DS	`Annual Debt Service ÷ 12`	*I/O or P&I per loan phase*
NOI Pool / mo	`Monthly NOI − Monthly DS`	*Available for waterfall distributions*
Mgmt Fee / mo	`LP Equity × Mgmt Fee Rate% ÷ 12`	*Annual AUM-based fee (not NOI-based); deducted from NOI pool monthly*
Pref Accrual / mo	`(Unreturned Capital + Prior-Period Unpaid Pref) × Rate ÷ 12`	*Compound: unpaid pref earns interest-on-interest. Compound base refreshes monthly.*
Pref Paid / mo	`min(NOI after Mgmt, Pref Accrued & Unpaid)`	*Pref paid pari passu LP/GP by equity %*
Ops Residual / mo	`NOI after Mgmt & Pref (if any surplus)`	*Split LP/GP at promote %*
Lease Ramp NOI(t)	`NOI × occ(t) ÷ Stabilized_Occ`	*occ(t) = S-curve from current→stabilized over ramp months*
S-Curve Occ(t)	`Occ_curr + (Occ_stab−Occ_curr) × σ((t−mid)÷scale)`	*σ = logistic function; mid = ramp_months÷2*

EQUITY DISTRIBUTION — PRIORITY ORDER

#	Recipient	Formula / Amount	Notes
1	**Senior Debt**	`Bank Principal + Accrued Interest`	*First lien; always paid before equity*
2	**GP Mgmt Fee**	`LP Equity × 1.50%/yr (monthly accrual)`	*Asset management fee; deducted from NOI pool monthly before distributions*
3	**LP ROC**	`LP Equity Invested (100%)`	*Return of contributed LP capital; pari passu with GP ROC*
4	**GP ROC**	`GP Equity Invested (100%)`	*Return of contributed GP capital*
5	**LP Pref**	`(Unreturned LP Capital + Unpaid LP Pref) × 8.00% ÷ 12 / mo`	*Compound pref (monthly): interest-on-interest on unpaid balance. Paid from NOI during ops, residual at exit.*
6	**GP Pref**	`(Unreturned GP Capital + Unpaid GP Pref) × 8.00% ÷ 12 / mo`	*Pari passu with LP pref by equity %*
7	**GP Catchup**	`Target = LP Pref Paid × (GP% ÷ LP%)`	*Catches GP to proportional share of total pref pool*
8	**Promote Split**	`T1: 85%LP/15%GP · T2 (>20.0% IRR): 75%LP/25%GP · T3 (>25.0% IRR): 65%LP/35%GP`	*Multi-tier: hurdle measured by IRR; each tier applies to residual above its threshold*
↩	**GP Clawback**	`min(GP Prior Promote, LP Pref Shortfall)`	*GP returns prior promote if LP pref was short at exit (Pro)*

Development Deal Performance & Returns Report — Appendix A: Model Methodology (2 of 2)

After-Tax Calculation & Stated Assumptions · Generated 2026-06-22 23:56

EXIT & SALE MECHANICS

Gross Sale Price	`Exit NOI ÷ Exit Cap Rate`	*Exit NOI = flat Yr-1 NOI, or escalated terminal NOI if NOI Growth is enabled — see Model Scope & Stated Assumptions table*
Net Sale Price	`Gross Sale − (Gross × Disposition Cost%)`	*Pool available for waterfall; Gross = Net if cost = 0*
Pref Due at Exit	`LP/GP Equity × Pref Rate × Hold Years − Pref Paid Pre-Exit`	*Remaining pref obligation settled from sale proceeds*
Exit Bank Claim	`Perm Balance at Exit + Accrued Exit Interest`	*P&I amort reduces balance if amort active*
Perm Balance	`Loan × (1+i)^k − Pmt × [(1+i)^k−1] ÷ i`	*k = months elapsed in P&I phase; 0 if I/O only*
GP Clawback	`max(LP_Pref_Due − LP_Pref_Paid, 0)`	*Shortfall triggers; capped at GP promote received*
Equity Profit	`LP Total + GP Total − LP Equity − GP Equity`	*Net profit to equity investors combined*

MODEL SCOPE & STATED ASSUMPTIONS

NOI Growth	Ops: Year-1 NOI $1.35M (flat). Exit: $1.35M × (1+3.00%)^7.0 = $1.65M → ÷ cap	*Escalated Exit Valuation: Year-N terminal NOI used only for exit_price calculation. Ops distributions use Year-1 NOI throughout.*
Interest Accrual	Compound preferred return (monthly)	*Unpaid pref earns interest-on-interest; accrues monthly; paid as NOI allows*
Equity Timing	LP + GP equity deployed per manual draw schedule	*Capital draw schedule governs LP/GP equity deployment timing*
After-Tax Scope	Asset-level tax only; not investor K-1 or fund-level	*PAL limits, AMT, NIIT, state taxes not modeled*
Draw Factors	Linear = 0.50 avg balance; S-Curve ≈ 0.55	*Simplified linear approximation of average outstanding balance, not a month-by-month draw simulation — actual draw timing and carry will vary*
1031 Exchange	Perfect deferral: exit tax = $0 if elected	*Structural/timing rules (45-day ID) not enforced*
Mid-Hold Capex	$60K/yr deducted monthly from distributable NOI before waterfall (total: $320K over 5.3 yr ops)	*Reduces LP/GP distributions each operating year. Modeled as consumed capex (not a segregated reserve account).*

AFTER-TAX CALCULATION (WHEN ENABLED)

Building Basis	`(Total Cost + Cap. Constr. Interest) × Building %`	*§263A: constr. interest capitalizes for dev/reno; Building % from cost breakdown or user input*
Land Basis	`(Total Cost + Cap. Constr. Interest) × Land %`	*Land never depreciates; retains full basis at exit*
Annual Depreciation	`Building Basis ÷ Useful Life (or bonus-dep avg)`	*27.5 yr residential · 39 yr commercial · Bonus methods front-load via ~20% eligible Y1*
Accum. Depreciation	`Annual Depr. × Hold Years`	*Reduces building basis at exit; capped at building basis*
Total Adjusted Basis	`Land Basis + (Building Basis − Accum. Dep.)`	*Full tax basis including non-depreciable land*
Recapture Tax	`Accum. Depreciation × Recapture Rate (25%)`	*Unrecaptured §1250 gain taxed as ordinary*
Taxable Cap Gain	`Total Gain − Recapture Amount`	*Gain above total adjusted basis less recapture*
Cap Gain Tax	`Taxable Cap Gain × LTCG Rate`	*Long-term rate if hold > 1 year*
Total Exit Tax	`Recapture Tax + Cap Gain Tax`	*Deducted from LP proceeds before after-tax IRR*
After-Tax IRR	`Newton-Raphson on LP CFs with exit tax deducted`	*Asset-level; not investor K-1 allocation*
1031 Exchange	`Exit Tax → $0 (perfect deferral)`	*Ignores 45-day ID / 180-day close rules*

Audit Verification. Every figure on pages 1–2 can be independently replicated by applying the formulas above to the deal inputs. The IRR is computed via monthly Newton-Raphson iteration (tolerance 1×10^{-8}) on the full monthly LP cash flow array — no simplified annual approximations. The waterfall respects strict distribution priority: no tier receives proceeds until all senior tiers are fully satisfied. GP Promote Clawback (when enabled) is applied as a closing adjustment before final LP/GP totals are recorded. **Limitations:** This is a pro-forma projection, not an audit. Actual results depend on market conditions, operating performance, lender terms, and tax treatment. All inputs were user-supplied; this tool does not verify their accuracy. Users should engage qualified legal, accounting, and financial advisors before presenting projections to investors.

Development Deal Performance & Returns Report — Appendix B: Deal Proof Sheet

Every calculation with actual deal values substituted · Generated 2026-06-22 23:56

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This page replicates every figure from the summary by substituting actual deal values into each formula. Read left-to-right: item name · how it was computed (with real numbers) · the result. Every result on pages 1–2 traces back to a row on this page.

CAPITAL STRUCTURE

Total Project Cost	*User input*	**$20.00M**
Bank Loan	*$20.00M × 60.0% LTC*	**$12.00M**
Total Equity Required	*Total Cost − Bank Loan = $20.00M − $12.00M*	**$8.00M**
LP Equity	*$8.91M × 75.0%*	**$6.68M**
GP Equity	*$8.91M × 25.0%*	**$2.23M**

CONSTRUCTION LOAN & CARRY

Draw Factor	*Manual*	**0.60**
Construction Int.	*$12.00M × 0.60 × 4.25% × 1.67 yrs*	**$506K**
Total Bank Claim	*$12.00M + $506K*	**$12.51M**

PERMANENT LOAN

Perm Loan (LTV)	*$36.76M × 43.2% LTV*	**$15.90M**
Perm Fee	*$15.90M × 2.00%*	**$318K**
Annual DS — I/O phase (24 mo)	*$15.90M × 3.75% (interest only)*	**$596K/yr**
Annual DS — P&I phase (after I/O)	*$15.90M × 6.1696% annual constant (25-yr amort)*	**$981K/yr**
DSCR (I/O basis — matches bank underwriting)	*$1.35M ÷ $596K (I/O DS)*	**2.26x**

OPERATING PERIOD (5.3 YRS)

Stabilized NOI	*User input*	**$1.35M/yr**
Monthly NOI	*$1.35M ÷ 12*	**$112K/mo**
Monthly DS	*$836K ÷ 12*	**$70K/mo**
NOI Pool / mo	*$112K − $70K*	**$42K/mo**
DS Funding Source	*How DS was funded across ops period*	**NOI $4.29M + OS Reserve $167K**
OS Reserve Status	*Restricted cash withheld at refi for DS coverage*	**$167K drawn of $366K funded — gap fully covered**
LP Pref Accrual/mo	*(LP capital + unpaid LP pref) × 8.00% ÷ 12 — compound monthly (starts at $6.68M)*	**$45K/mo (at stabilization)**
GP Pref Accrual/mo	*(GP capital + unpaid GP pref) × 8.00% ÷ 12 — compound monthly (starts at $2.23M)*	**$15K/mo (at stabilization)**
LP Pref Paid (ops)	*From NOI over 5.3 yrs*	**$0**
GP Pref Paid (ops)	*From NOI over 5.3 yrs*	**$0**
LP ROC (ops)	*Equity return from NOI before promote*	**$1.85M**
GP ROC (ops)	*Equity return from NOI before promote*	**—**
GP Catchup (ops)	*Fully settled at exit*	**—**
LP Residual (ops)	*Residual NOI × 80% (after ROC)*	**—**
GP Promote (ops)	*Residual NOI × 20% (after ROC)*	**—**
GP Mgmt Fee (ops)	*Constr. carry: $6.68M × 1.50% × 1.67 yrs = $167K + Ops: $6.68M × 1.50% × 5.3 yrs = $534K → Total: $701K accrued — paid from ops NOI*	**$302K**

EXIT PRICING & SALE

Stabilized NOI	*User input*	**$1.35M/yr**
Exit Cap Rate (Target)	*User-set via slider (0.25% increments) — applied as-is, not back-derived*	**4.500%**
Exit NOI (escalated)	*$1.35M × (1+3.00%)^7.0 — used for exit pricing only; ops distributions stay on flat Yr-1 NOI*	**$1.65M**
Gross Sale Price	*$1.65M ÷ 4.500% (Exit NOI ÷ cap rate)*	**$36.76M**
Stabilized YOC	*$1.35M ÷ $20.00M*	**6.73%**
Stabilized NOI Yield on Equity	*$1.35M ÷ $8.91M*	**15.10%**
Disposition Cost	*$36.76M × 2.25%*	**$827K**
Net Sale Price	*$36.76M − $827K*	**$35.93M**

EXIT WATERFALL — FROM SALE PROCEEDS

① Bank Principal	*$15.90M perm loan − $1.36M principal paydown (25-yr amort × 5.3-yr ops) = $14.53M at exit*	**$14.53M**
① Bank Interest	*Accrued at exit (if any unpaid)*	**Paid from ops**
② GP Mgmt Fee	*Remaining mgmt obligation at exit*	**Fully paid from ops**
③ LP ROC	*LP equity invested*	**$1.92M**
③ GP ROC	*GP equity invested*	**$2.23M**
④ LP Pref (exit)	*Remaining after ops/refi paid $0*	**$2.85M**
④ GP Pref (exit)	*Remaining after ops paid $0*	**$0**
LP Pref Shortfall	*None — fully covered*	**✓ None**
⑤ GP Catchup (exit)	*LP Pref Paid × (20% ÷ 80%)*	**$713K**
⑥ LP Residual (exit)	*T1: $397K × 85% = $337K · T2 (>20.0% IRR): $2.36M × 75% = $1.77M · T3 (>25.0%): $11.13M × 65% = $7.23M*	**$9.34M**
⑥ GP Promote (exit)	*T1: $397K × 15% = $60K · T2 (>20.0% IRR): $2.36M × 25% = $591K · T3 (>25.0%): $11.13M × 35% = $3.89M*	**$4.54M**
GP Clawback	*Not triggered*	**—**

RETURN SUMMARY

LP ROC	*Capital returned (refi + ops + exit)*	**$6.68M**
LP Total Pref	*Paid $2.85M (8.00% on declining capital over 7.0 yrs — met ✓)*	**$2.85M**
LP Total Promote	*Ops + Refi + Exit*	**$9.34M**
LP Total	*$6.68M + $2.85M + $9.34M*	**$18.87M**
GP Total	*ROC + Pref + Catchup + Promote − Clawback*	**$7.95M**
Equity Profit	*($18.87M + $7.95M) − $8.91M*	**$17.92M**
LP MOIC	*$18.87M ÷ $6.68M*	**2.83x**
LP IRR	*Newton-Raphson on monthly LP CFs*	**24.7%**
GP MOIC	*$7.95M ÷ $2.23M*	**3.57x**
GP IRR	*Newton-Raphson on monthly GP CFs*	**23.7%**